Second Life Furniture: one piece, three prices

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Summary. Second Life Furniture sells every piece at one price, on average €399, that includes restoration, delivery and assembly. People who would rather restore a piece themselves, or fetch it in their own car, are asked to pay for work they do not want, and most of them leave: only 8% of DIY restorers and 25% of car owners buy. I propose selling each piece in three versions: As Found (€249), Restored (€349) and Restored & Delivered (€429). On the 2026 visitor numbers, contribution rises from €255,354 to €345,784 and a loss of €24,646 becomes a profit of €65,784. The web shop must also drop its "was" prices and its CO_2 claim, which do not meet EU and Croatian consumer law.

1 Customers and value

Rijeka's port still has the Exportdrvo hall, built in 1961 to store wood products before they were shipped out, and refurbished for the 2020 European Capital of Culture as a venue for exhibitions and concerts. The building barely changed; its use and its public did. This case works the same way: one piece of old solid wood is worth different amounts to different people, depending on how much work is done on it. The survey of 700 visitors divides the 5,000 people who asked about a piece into three groups (Table 1). Following Nagle and Müller (2018, Ch. 2, pp. 47-54), I segment them by the value they receive rather than by who they are, and what separates them is easy to observe: a van, a taste for restoring, and the willingness to carry a table up the stairs.

Table 1. Segments, value drivers and next-best alternatives for a typical solid-wood dining table

Segment	Visitors a year	What they value	Next-best alternative (case prices)	Buy today at €399
DIY restorers	1,200	an old solid-wood piece at a low price; the work is part of the pleasure	Oglasko, as-is, no guarantee: €150 to 300	8%
Car owners	1,000	a finished piece without doing the work; they can collect it	Oglasko piece plus an independent restorer: €300 to 550	25%
Full-service buyers	2,800	a finished piece in their home, with no effort	Oglasko, restorer and delivery: €359 to 639; new particle board, delivered: €339 to 369	45%

Economic value for full-service buyers. For the largest segment I followed the three steps of Economic Value Estimation (Nagle & Müller, 2018, Ch. 2, pp. 26-55). The reference value is the cheapest way to reach the same result without us: a similar table on Oglasko (€225 at the midpoint), an independent restorer (€200) and delivery with assembly (€74), €499 in total. Our differentiation is positive: one purchase instead of three, no transport to organise, and a company that answers for the piece instead of a private ad without any guarantee. I leave these advantages unpriced so the estimate stays conservative: total economic value is at least €499, and a buyer paying €429 keeps at least €70. The floor is a new particle-board table delivered for about €354 (Figure 1).

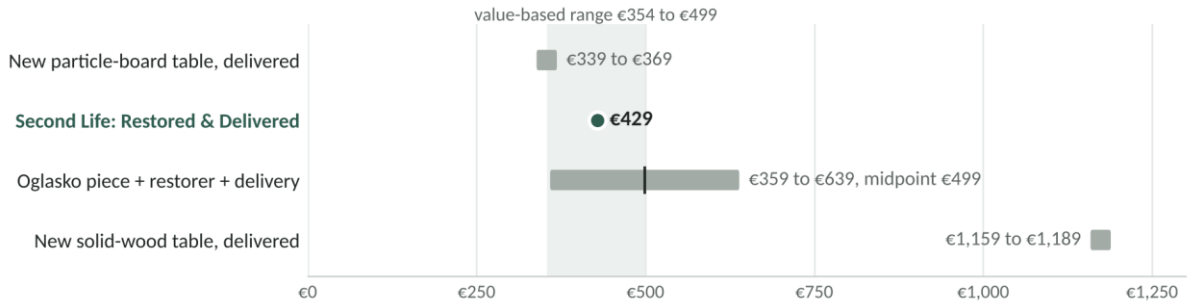


Figure 1. Where €429 sits for a full-service buyer. Grey bars show the alternatives at case prices; the shaded band runs from the particle-board floor (€354) to the restoration route (€499).

The survey shows the gap between economic and perceived value that the textbook warns about: 42% of full-service buyers accept €429 but only 33% accept €459, although both prices are below €499. Many compare us with new particle board rather than with the restoration route, which makes this a communication task (Section 4), not a reason to cut the price. The same reasoning gives a reference of about €225 for DIY restorers and €425 for car owners.

2 Pricing strategy

Three segments do not need three customer prices. They need three versions of the same piece that customers choose for themselves, so that the offer configuration does the fencing (Nagle & Müller, 2018, Ch. 4, pp. 76-105): to pay €249 you must restore the piece yourself and fetch it in your own van, which a full-service buyer will not do. Fences that customers set for themselves need almost no enforcement.

Table 2. The three offers, typical solid-wood dining table

Offer	Price	What is included	Who chooses it (fence)	Variable cost
Restored & Delivered (recommended)	€429	restored in the Rijeka workshop, delivered and assembled in the Rijeka area	full-service buyers: no van, no time	€240
Restored	€349	restored; collected from the Rijeka warehouse	car owners: own vehicle, own carrying	€195
As Found	€249	the piece as bought, not restored; collected from the warehouse	DIY restorers: own van, own work	€120

Metric and conditions. The metric stays per piece, but every price is now built from three blocks: the piece itself (€249 for a typical table, set item by item), restoration (€100) and delivery with assembly in the Rijeka area (€80). It passes the five tests of Lecture 4. It tracks value, since a better piece carries a higher piece price; it tracks cost to serve, since only those who use restoration and delivery pay for them; it fits on one price tag; it compares well, because restorers and stores also charge per piece; and it matches how furniture is bought. Pieces are listed as found and restored after the order, so restoration money goes only into pieces sold restored. The 45-day markdown stays, but it cuts the piece price by 20% and leaves the work untouched: it is the piece that failed to find a buyer, while restoration and delivery cost as much on day 46 as on day 1. On a typical table that is about €50, which also limits the reward for waiting (Nagle & Müller, 2018, Ch. 5, pp. 106-132). For one-of-a-kind goods, a markdown after a fixed period is also how a seller learns what an item is really worth (Lazear, 1986).

Price levels. Each price is the most profitable of the three the survey tested, then checked against competitors and costs. As Found at €249 earns €61,920, against €58,860 at €229 and €53,424 at €279, and sits just above the Oglasko midpoint, a premium that a curated choice in one showroom and a company seller can carry. Restored at €349 earns €61,600 and stays €76 below what car owners would pay through Oglasko and a restorer. Restored & Delivered at €429 earns €222,264 and captures 52% of the range between the particle-board floor and the restoration route, close to the 50:50 split the textbook suggests when evidence is limited (Nagle & Müller, 2018, Ch. 6, pp. 133-151). Both work blocks sit above cost and at or below the market: restoration at €100 against €150 to €250 at independent restorers (cost €75), delivery and assembly at €80 against €59 to €89 at furniture stores (cost €45). In the textbook's terms the strategy is neutral: price neither buys share nor gives it away, and the structure does the work. Simon and Fassnacht (2019) explain why that pays: under a linear price-response function, the best single price captures only half of the profit that differentiated prices can reach.

3 The numbers

Table 3. Contribution per offer and in total, against one price for everyone (2026 visitor numbers)

	Price	Buyers	Contribution per piece	Contribution	Profit after €280,000 fixed costs
As Found	€249	480 (40% of 1,200)	€129	€61,920	
Restored	€349	400 (40% of 1,000)	€154	€61,600	
Restored & Delivered	€429	1,176 (42% of 2,800)	€189	€222,264	
Three offers, total		**2,056**	**€168 average**	**€345,784**	**€65,784**
Today: one price for all	€399	1,606	€159	€255,354	(€24,646)
One price for all, best case	€429	1,522 at most	€189	€287,658 at most	€7,658 at most

Against today's single price, the three offers add €90,430 of contribution (+35%) and turn the loss into a profit of €65,784. Most of the gain comes from people who did not buy before: DIY restorers rise from 96 to 480 buyers and car owners from 250 to 400. A single price cannot do this. At €429 for everything, contribution reaches at most €287,658, and only if DIY restorers and car owners kept buying at today's rates despite the higher price.

Break-even. With the new mix a piece contributes €168 on average, so fixed costs are covered after 1,665 pieces, 19% below the forecast of 2,056 (Nagle & Müller, 2018, Ch. 9, pp. 207-239). Today's model needs 1,761 pieces and sold 1,606: that is the loss in one line. The only price that rises is Restored & Delivered, from €399 to €429.

Its breakeven sales change is -30 / (159 + 30) = -15.9%, so the firm can lose up to 200 of its 1,260 full-service buyers before the increase stops paying. The survey predicts it loses 84, or 6.7%.

Stress test. As a Finance and Banking student, I do not trust a base case until it has survived a stress test, and stated purchase intentions usually run ahead of real purchases. For full-service buyers the survey passes a simple check: today 45% buy at €399, between its 50% at €369 and 42% at €429. For the two new offers there is no such check, so I cut their stated demand instead. The firm still breaks even if only 47% of those purchases happen, and it beats today's result as long as 27% do. If every full-service buyer traded down to Restored and collected the piece himself, profit would still be €24,624. The forecast also assumes that about 450 more pieces can be bought in Istria and Kvarner. If supply stayed at 1,606 pieces, the answer would be higher prices rather than rationing: the top tested prices (€279, €379 and €459) sell 1,560 pieces and still earn €310,980.

4 How the prices are presented

The value message under the pricing heading is one sentence: "Pay for the piece, and only for the work you want us to do." It explains the structure and makes it feel fair. The cards run from the most complete offer down, with Restored & Delivered highlighted as recommended, so that €429 sets the reference and the cheaper offers read as savings rather than the full service as a surcharge (top-down selling and gain-loss framing; Nagle & Hogan, 2006, Ch. 5; Kahneman & Tversky, 1979). One small line under the cards gives the conditions: typical dining table, delivery in the Rijeka area, the 45-day rule, final consumer prices. A small calculator turns any piece price into its three prices, so the rule is visible and the same for everyone. Because full-service buyers see less value than they get, the page puts numbers on the alternatives: independent restorers charge €150 to €250 per piece, and a comparable new solid-wood table costs about €1,100 (economic value communication; Nagle & Müller, 2018, Ch. 3, pp. 56-75). When a markdown applies, the tag reads "€50 off" rather than "20% off", because above €100 an amount looks larger than a percentage (Lecture 5).

The "was" price. "Was €1,100, now €399 (-64%)" presents a new table's price as our former price. Under Article 6a of Directive 98/6/EC, mirrored in Article 19 of the Croatian Consumer Protection Act, a reduction must be measured from the lowest price the trader itself charged in the previous 30 days. The new-furniture price can stay as a comparison with a different product, never as a reduction (European Commission, 2021).

Black Friday. The oak table was listed at €420 until 10 November, so its reference on 27 November is €420, not €480, and €336 is 20% off, not 30%. The Court of Justice has confirmed that an announced percentage must be computed from that 30-day low (Case C-330/23, *Aldi Süd*, 2024), and a price raised just before a sale also fails the fairness test customers apply (Kahneman, Knetsch & Thaler, 1986). The table should in any case have been marked down on 15 November, after 45 days online. A 30% cut on Restored & Delivered would need 213% more sales just to break even, so Black Friday should be limited to pieces past their 45 days, priced honestly.

The green claim. "Eco-friendly choice, saves 90 kg of CO_2" joins a generic environmental claim, banned since 27 September 2026 unless the firm can show recognised excellent environmental performance (Directive (EU) 2024/825, transposed in Croatia in 2026), to a figure from a foreign blog that the firm cannot prove. Reuse does matter: about 10 million tonnes of furniture are discarded in the EU every year, most of it landfilled or burnt (EEB, 2017). The page should state only what can be proven, that every piece is used solid wood restored in Rijeka rather than made new, until a life-cycle study of the firm's own pieces supports a CO_2 figure.

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Zakon o zaštiti potrošača [Consumer Protection Act], Narodne novine 19/22, 59/23, 59/26.

AI statement

I used Claude (Anthropic) to lay out the tables and the figure, and to double-check the contribution and break-even calculations against the case data. The website was built with Claude Code in Visual Studio Code from the course prompt pack and is published on GitHub Pages. Every number about the company comes from the case book and can be traced in Tables 1 to 3, and I take responsibility for the content.